

Tax Tangle

A look at how your foreign investments are taxed

Mode of Buying	Nature of Income	Tax Rates
Direct Buying	Capital Gains	→ Long-term capital gains (LTCG) tax rate of 20 per cent applicable for investments held for over 24 months → If investments are held for less than 24 months, short-term capital gains is charged according to your income tax slab
	Dividend Income	→ Dividends are taxed in the US at a flat rate of 25 per cent. The broker pays the dividend after subtracting tax, which investors can adjust when filing taxes in India
Mutual Funds	Capital Gains	→ If held for three years or more, it is treated as LTCG and attracts a tax rate of 20 per cent after indexation. If held for less than three years, it is treated as STCG and taxed as per their tax slab

ther update. What you are allowed to do is take money, net of redemptions. So, depending on each individual fund's situation, we are taking money via SIPs, and we're doing so in compliance with guidelines. In fact, we are seeing people starting SIPs in funds like Greater China at lower levels. Different industry players are taking very different stances. We want to request the RBI to look at enhancing these limits," says Gupta.

FUTURE FORWARD

So, which route is better—investing directly or through MFs? The cost of investing directly is high. Hence, if your portfolio value is large and you have the time to devote to analyse and track foreign stocks, then you can consider investing directly, say experts. Here, investments are made by using the liberalised remittance scheme (LRS) of the RBI, which is available to all resident Indians. Through this scheme, an individual can remit up to \$250,000 per financial year for such transactions.

Otherwise, for small investors, the most efficient way to invest abroad is to buy a passive interna-

Overseas investing ensures that investors don't put all their eggs in one basket, and provides their portfolios with the much needed geographical diversification

tional fund as it is cheaper and hassle-free. One doesn't need to have an overseas broking account, as there are many international schemes that are available in India. The biggest advantage of these funds is that you can

invest in rupees without getting into the hassle of remittances and forex charges. So, for the uninitiated, it is always good to make an entry in a staggered manner with 10-15 per cent of equity investment to be allocated to overseas funds. Once you are comfortable with these funds, you can explore further by investing directly in foreign markets, the experts add.

Another aspect to keep in mind while investing directly in foreign markets is capital gains tax, as generally, international investors churn their portfolios a lot. In the case of international MFs, just like debt funds, if they are held for three years or more, long-term capital gains (LTCG) attract a tax rate of 20 per cent after indexation benefit, whereas if they are held for less than three years, short-term capital gains (STCG) is taxed as per their tax slab.

If you invest directly in foreign equities, LTCG tax rate of 20 per cent (plus applicable surcharges and cess) is levied on gains made on them if held for over 24 months. If the investment is held for less than 24 months, then STCG is levied as per your income tax slab. Moreover, dividends are taxed in the US at a flat rate of 25 per cent. The broker paying the dividend subtracts the tax before distributing the remaining profits. However, one can claim credit for the dividend tax paid when filing taxes in India.

Last but not the least, it is advisable to take the plunge after understanding the costs involved in foreign investing if you are investing directly. For small investors, overseas MFs could be the best route to diversify your portfolio. In the end, it is always a good idea to be on the lookout for greener pastures, whether domestic or international. **BT**

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